Alder Power Group

Quarterly report to shareholders - Q3 2026 (quarter ended 30 September 2026)

Company code CO-048 · Battery storage · Sydney, Australia · Issued 28 October 2026

1. Highlights

Revenue for Q3 2026 was **USD 266.86m**, **USD 22.67m (-7.8%) below** the budgeted target of USD 289.53m. This is the first quarterly revenue miss since Q1 2024. Revenue still grew 12.6% on Q3 2025 (USD 237.00m).

EBITDA was USD 218.94m, an EBITDA margin of 82.0%. Year to date, revenue of USD 704.83m is USD 1.12m ahead of the year-to-date target of USD 703.71m, because Q1 and Q2 were ahead of budget.

Metric	Q3 2026 actual	Q3 2026 target	Variance	Q3 2025 actual
Revenue	USD 266.86m	USD 289.53m	USD -22.67m (-7.8%)	USD 237.00m
EBITDA	USD 218.94m	-	-	USD 181.15m
EBITDA margin	82.0%	-	-	76.4%

2. Quarterly revenue against target, 2026

Quarter	Revenue	Target	Variance	Result
Q1 2026	USD 199.21m	USD 190.07m	USD 9.14m	Beat
Q2 2026	USD 238.76m	USD 224.11m	USD 14.65m	Beat
Q3 2026	USD 266.86m	USD 289.53m	USD -22.67m	Missed
YTD 2026	USD 704.83m	USD 703.71m	USD 1.12m	

3. Why revenue missed the target

The Q3 2026 budget was set in late 2025 and assumed a large step-up in revenue from the third quarter. The shortfall of USD 22.67m breaks down into three causes:

Driver	Impact on Q3 revenue	Share of miss	Explanation
Delay of Sydney Battery storage facility III	USD -10.43m	46%	The budget assumed the 439.6 MW facility would start earning grid-services revenue in July 2026. Transformer delivery slipped and commissioning is now expected on 1 September 2027.
Lower wholesale price spreads	USD -7.48m	33%	A mild winter and high solar output narrowed the daily gap between peak and off-peak prices, reducing arbitrage revenue per MWh cycled.
Unplanned outage	USD -4.76m	21%	An inverter fault took one facility offline for 11 days in August 2026. Insurance recovery has been claimed but is not yet recognised.
Total	USD -22.67m	100%	Ties to the reported Q3 variance.

Management considers the delay and the outage to be timing issues. The lower price spreads are partly structural and have been reflected in the revised outlook below.

4. Portfolio of assets

Alder owns 4 battery storage facilities in Sydney with a combined capacity of 1,644.8 MW, of which 1,205.2 MW is operating.

Asset	Capacity	Commissioning	Book value
Sydney Battery storage facility	288.6 MW	5 February 2016	USD 1,185.1m
Sydney Battery storage facility II	344.7 MW	10 September 2005	USD 470.8m
Sydney Battery storage facility III	439.6 MW	1 September 2027	USD 1,278.5m
Sydney Battery storage facility IIII	571.9 MW	9 October 2019	USD 1,374.7m

5. Balance sheet and funding

At the end of FY2025 net debt was USD 4,942.6m against FY2025 EBITDA of USD 627.2m, a leverage ratio of 7.9x. FY2025 revenue was USD 806.3m and capex USD 218.4m. Covenant headroom remains adequate, but the delay of Sydney Battery storage facility III pushes back the deleveraging the 2026 plan assumed.

6. Actions and outlook

- A second transformer supplier has been contracted; weekly commissioning reports now go to the board.
- Merchant exposure is being reduced: two new fixed-price grid-services contracts start in Q1 2027.
- Management expects Q4 2026 revenue of about USD 184.9m (management guidance, unaudited), which would leave full-year 2026 revenue slightly below budget.
- The FY2027 budget will use lower price-spread assumptions and a later start date for new capacity.

7. Shareholders

The portfolio fund holds 26.8% of Alder Power Group, acquired on 14 November 2016.

Approved by the board of Alder Power Group. Figures are unaudited.